tegus by AlphaSense | Expert Insights

COMPANY DEEP-DIVE

Sourcing Manager at Honeywell Sees *AI Agents* Revolutionizing *Procurement* and Improving Cash Flow

DATE PUBLISHED	INTERVIEW DATE	EXPERT PERSPECTIVE	ANALYST PERSPECTIVE	PRIMARY COMPANY
11 Jun 2025	13 Mar 2025	Customer	Investor-Led (Buy-Side)	SAP

SMART SUMMARY

Summary

The interview covered the expert's experience managing large-scale procurement operations, current technology stack, pain points in procurement processes, and the potential for AI and analytics to improve efficiency and decision-making. Discussion also addressed the challenges and opportunities for smaller companies in adopting advanced procurement technologies.

EXPERT BACKGROUND

- Senior sourcing manager with extensive experience in global strategic sourcing and procurement at large multinational corporations, managing significant spend and supplier bases across multiple categories and regions.

EXPERT SENTIMENT

- Believes **current procurement technology solutions lack flexibility and integration**, particularly in connecting commercial strategy with procurement operations.
- Sees **significant opportunity for AI and advanced analytics** to streamline processes, enhance forecasting, and improve supplier risk assessment, especially if integrated with existing ERP systems.
- Views smaller companies as less likely to adopt strategic procurement practices due to **resource constraints and lack of awareness of potential value**.

TAKEAWAYS

- Manages a $400 million spend across 5,000 suppliers and over 4,000 parts, with a global team supporting direct material procurement in categories such as raw metals, chemicals, and injection molding.
- Currently uses SAP Ariba and Ivalua for procurement operations, but finds **Ariba less user-friendly and flexible compared to previous experience with Coupa**.
- **The most significant challenge** is the manual and disconnected process of translating commercial strategy and demand changes into ***procurement*** actions and forecasts.
- ***AI agents*** are already being used internally to aggregate commodity, exchange rate, and geopolitical data, but there is a need for deeper integration with ERP systems to enhance forecasting and leverage opportunities across business units.
- For small and mid-sized companies, spend analytics tools and AI-driven platforms could provide substantial value, especially if they include supplier risk analysis and marketplace integration, but **adoption is hindered by budget constraints and lack of strategic focus**.

AlphaSense Assistant is AI Generated

Table of Contents

Expert's Background And Experience

Current Role And Technology Stack

Procurement Process Challenges

AI Agents In ***Procurement***

Procurement Practices In Smaller Companies

Value Of Spend Analytics Tools

Future Features For ***Procurement AI*** Tools

Expert Bio

Sourcing Manager | Global Strategic Sourcing at Honeywell International Inc. (Aug 2024 - Current) The expert has +10 years of Procurement background. They also worked work Heineken, Coca Cola, and more doing procurement. The expert is the Sourcing Manager | Global Strategic Sourcing at Honeywell International Inc., the expert is responsible for managing and optimizing the sourcing of materials,

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

services, and components globally to drive cost efficiency, quality, and supply chain reliability. Prior to this role, the expert was the Global Strategic Sourcing at FEMSA leaving in Sept 2021.

Interview Transcript

Client 00:00:00

Thank you for taking the time to speak with me today about industrial procurement. To start off, could you please give us a quick overview of your background and experience in this space?

Expert 00:00:10

Yeah. Some of my background. Right now, I'm working for Honeywell. Before this, I was working for the Coca-Cola system. It's a Mexican holding company that have bottling across South America. That was my main reason to be in several countries. I spent some years in U.S. working with the Coca-Cola corporate on some of the procurement efforts for the Global Motors across the world.

Client 00:00:33

Got it. Do you have experience at any smaller companies at all, or is it mainly large conglomerates?

Expert 00:00:39

Mainly large companies. Before Coca-Cola and Honeywell, I was starting my career in Whirlpool, but they are mainly large cap companies.

Client 00:00:47

Got it. In terms of your current role, can you give me a sense of the scale of what you manage? Approximate number of suppliers, number of items you're procuring?

Expert 00:00:57

Right now, my role is a senior sourcing manager. As I was mentioning, I work for Honeywell on their sensing unit business. My current role is for certain categories within the direct material scope. The spend that I manage is around $400 million. It contemplates several categories from raw materials, raw metals, into Tier two or transformed metal and mechanical part, chemical categories that we use at our business, and some injection molding.

Our supply base is around 5,000 suppliers, and the volume of parts is above the 4,000 different parts. I manage a global team, mainly localized here. Some resources in the U.S. and some other resources across our EMEA headquarters. We have a hub in India. I have two elements over there.

Client 00:01:44

Got it. Can you give me a sense of the tech stack you guys are currently running? What sorts of software do you use throughout?

Expert 00:01:51

Mainly for the source-to-pay operations, we recently moved from several technologies into managing only one, which is Ariba from SAP. This contemplates our source-to-contract process and the P2P process too. Other tool that we use, it's Ivalua, and this is mainly for internal supply base management to drive and record our productivity projects on the direct and indirect side.

Those, I would say, the main day-to-day technology tools that we use on our side. For the Ariba portion, we manage our strategic processes through Ariba in related to exploring any needs, explore any supplier that could be a good fit for our current requirement. It's from the initial exploration, initial communications through manage other process like different RFX bidding process that we manage through Ariba.

Client 00:02:40

That's helpful. How satisfied are you with the current solutions you're using?

Expert 00:02:45

In the past, in Coca-Cola, we used Coupa. If you ask me, I think Coupa had more friendly user interface. More than just the interface, I will say in terms to manage the different categories, complexity of parts. Sometimes we are in the need of a service that you need to open certain attributes to the suppliers in order to have their feedback or their economic proposals.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

I think Ariba is more work, more adjustments needed, and that we need a third party, someone from our IT department in order to modify what we need. Even though it's a cloud tool, software as a service approach, there are not many configurations open to the end user compared to Coupa that I used to manage in the past.

Client 00:03:27

Got it. Sounds like there's **a bit of lack of flexibility in terms of product/item categorization**. If you were to think through the broader procurement process, so everything from demand forecasting, intake approvals, sourcing negotiations, onboarding and ordering payments, where is **the process most painful** and where are the largest challenges where they exist?

Expert 00:03:50

Right now, I think it will be the bridge that we have. Also, the sourcing team, where we need to have business information in terms of current demand if we're closing any commercial contract or agreement **that is going to be incremental, or in the other side decremental**, demand for certain SKUs that translates into sister materials.

There's this disconnection from the commercial process, into the demand process that later translate into the inputs that we need to have, to have the right strategy, to conduct the right actions, and at the end, to implement those through our sourcing and procurement tools. That manual operations is, **I will call, the most painful part of the process** when we work to conduct any commercial exploration on any RFX process.

Having to pull information from our ERP or our demand tool, and then have to go to the commercial teams in order to understand if this information is accurate, or if it needs to be modified by certain commercial actions **that are going to be impacted in our numbers in the near future**.

Client 00:04:54

Got it. It sounds like there's a disconnect between commercial strategy and effectuating that into procurement operations.

Expert 00:05:02

Yeah. To be honest, I don't know if there's a tool that integrates this, let's say, commercial process that later translate into how the demand at the SKU level will be impacted, then it translates into the material requirements and provides the data intelligence that sourcing, and also procurement, needs to conduct their processes.

Client 00:05:23

Maybe walk me through a little bit. When you think about your team, what are some of the most repetitive and time-consuming tasks that you or your team have to do on a daily, weekly basis?

Expert 00:05:33

For example, as most of the sourcing areas, one of the most important KPIs, it's the savings or the inflation that your business, your categories, your scope is having. One of the most repetitive tasks, I will say on a weekly basis, is to allocate the year-to-date spend information that we have, the calculated inflation that we have, deflation too, and add the portion of the projected saving based on the constantly changing impact dates depending on the different projects or efforts that the sourcing team is conducting.

I will put an example. Let's take a look at chemicals. Imagine, if I close a negotiation for 2025 and we are in March, I already know the numbers for January and February in terms of how much spend I had for these set of categories, how much savings I had for this portion of the year, how much inflation did I have. When I'm trying to project what is going to be the number at the end of the year, this is a, let's say, easy task because if there's demand already loaded in the system, we have the visibility and the ultimate decision to have this visibility.

When we want to add the layer of all the projects that the team is directly conducting, in terms of commercial approaches with our supply base, or if there's any work that our engineering, our R&D teams are conducting in order to explore any other low-cost alternative that we have, it's a manual input that **the commodity managers and certainty needs to implement in the full saving forecast for the period,** or for the year, in this case.

Client 00:07:08

Okay. To play that back, **it sounds like the difficulty** is pulling in additional/outside information into the procurement cost forecasting process. Is that generally what you're saying?

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Expert 00:07:19
Mhm.

Client 00:07:19
Okay. Help me understand, why is that so difficult?

Expert 00:07:23
We have some automatization report that basically just take all the receipts that we have for a family or a category at the end, it's at the material level. I will talk about material level. At the end, we have this level of automatization of, "Okay, I will pull from our ERP the consumption that we have. I have the latest price or the price that we are paying for that material. I have my comparative base of the part that I had."

I have seen this across different companies, the way that each of the companies manages their baselines or their average prices. We have all that information. It's very easy to pull and understand what already happened. In terms of the future, I think one of the pain points that sometimes we don't have all the demand loaded into the system so we can have an accurate forecasting of what is going to be coming in the remaining of the year.

There's one level of complexity. After that, how can we integrate and connect the information related to the potential savings, and also inflation, that we could be receiving because of all the commercial actions, all the RFQs, all the negotiations that the team is conducting for each of their categories on their scope? I don't know if it's clear on your end.

Client 00:08:39
I think that generally makes sense. Maybe to move on to a slightly different question. Are you familiar with AI agents at all?

Expert 00:08:47
Yep.

Client 00:08:47
Curious to get your thoughts there. Where do you think the biggest opportunity is when it comes to ***procurement*** tech and ***AI agents***?

Expert 00:08:55
For example, one practical use that we have here in Honeywell, it's we have our own customized AI agent which is a hybrid model between internal data and ChatGPT model. What we usually do for this internal tool is try to pull the latest information in terms of commodity, in terms of exchange rate, to pull some information direct to geopolitical news.

Right now, what **we are facing with the new U.S. administration**, it's this very dynamic change in terms of the tariff. A company like Honeywell, they have operations across the globe. It's very painful. We are rushing with meetings every day to try to have the latest on the potential impact that we are going to have at the material cost because all of these dynamic tariffs being placed by the U.S. administration.

Instead of pulling the latest from the newspaper, from our import-export team, from our different functional areas, we just pulled information from this tool and have the latest on this. We were trying to aim to conduct some hedging for our metals. We have advanced tools such as Bloomberg and others. Very basic hedging and activities, we can start pulling information from our AI tool too.

What **I see the opportunity in the sourcing site**, it will be how can we connect this AI agent into our ERP to very quickly pull the information that we need in terms of forecasting, in terms of historical consumption, in terms of the pricing that we have.

In a company like Honeywell where you have 40+ business units, sometimes we want to explore if there's leverage in our supply base, in our materials, that we don't have a very detailed and centralized data warehouse where we can easily pull any opportunities to conduct any leverage approach with other businesses or with our supply base.

Client 00:10:44
How often are you conducting analyses like that?

Expert 00:10:47
Weekly.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Client 00:10:47

Do you think that's also happening at smaller manufacturing companies? Obviously, Honeywell is massive. If I'm a mid-sized manufacturing company, do you think they're doing it at a similar frequency?

Expert 00:10:59

No, because for the mid- and small-sized companies, some of the core activities from the sourcing side are being bundled into operative and less strategic approach. I think the main focus of their procurement teams and supply chain team is just to keep running the production lines. I don't think they put time needed. They don't sense the real value on having these strategic areas, such as sourcing, within their supply chain scope. I don't think they are conducting this in the same time basis as large corporations.

Client 00:11:31

It sounds like you're saying that's due to the fact that **they're more resource constrained**.

Expert 00:11:35

Yeah. Sometimes it's a thing that they don't realize the real value on having the strategic approaches on their supply chain process.

Client 00:11:44

It's interesting. I've been having some of these conversations, and they've echoed that point where a chief procurement officer will basically say, "I know we can save a lot of money if we just approach procurement more strategically, but my C-suite doesn't want to invest any money here. Things are going fine, so we're not going to touch it."

Expert 00:12:05

I think it happens more in the small to medium companies, where they don't even know the differences between the different areas within the end-to-end supply chain.

Client 00:12:16

Let me pose a different question here. Think about it in the context of these smaller, medium-sized companies again. Let's say I have a software platform that gives you really good spend analytics. It, essentially, is able to take in all of your spend information from different sources and break it down on five levels of taxonomy, let's say, and then present this view to you, to surface actionable areas for improvement. First is how attractive a proposition do you think that would be for these small companies?

Expert 00:12:46

You got into a very important point. In my past life with Coca-Cola, I used to manage the IT categories for over six years. One of the most important categories was the software category. I know there's a lot of value, especially on the small IT companies that have these very innovative value proposals and products.

Sometimes, because they don't have ties to SAP, Oracle, or the big players, the functional teams that are in the need of this tool or can have a real impact by using the tools, they don't want to have the opportunity with them, with the new players, with the niche companies.

What we used to do at Coca-Cola, it's try to be the translator between what's new in the market, what is the real need on the internal functional area, and try to see, one, "How can I provide value to this new company?" and at the same time it's "How can I manage the complexity of 'I don't know if the product is going to work, and I don't know if I'm able to pay X amount of dollars of that'?"

Let's make a win-to-win approach, "If you, supplier, think that you have a valuable product that can help me with the thing that I need, let's go ahead and establish a proof of concept. Let's open our needs, let's open the conversations with the decision makers on our end with a proof of concept." If this is successful, it's going to be a big changer. If you have the testimony and the experience that you have been working with large corporations, in this case, it was Coca-Cola.

Client 00:14:17

Okay, I don't think I followed you totally on that one. Maybe in a slightly more condensed way, can you just rephrase that? If I'm a mid-small-sized manufacturing company, and I'm presented a spend analytics tool that clearly presents my procurement spend, analyzes that, let's focus on direct materials for now, and I come and present this solution to you, how much value, do you think, they would get out of that?

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.

Expert 00:14:42

I think there will be a lot of value, but let's take a look at what are the budgets for the small to medium corporations or companies. They don't have a lot of budget versus the big players. I think a good approach on those kind of explorations will be to implement some proof of concepts without having a cost on the variables on the initial approaches. It's going to be a win-win situation.

On the company side, it will be okay. Maybe there's value, maybe there's going to be a solution for my problematic, maybe it's going to be real impact in terms of productivity, in terms of savings, in terms of lean processes, and at the same time, how can I help this company to have a rename, to have an echo in the market? I could be a testimony player, a testimony customer, in order to reach new potential clients.

Client 00:15:32

Makes sense. To ask a different, more open-ended, question now, and thinking back to AI agents and that train of thought. Again, let's say we're thinking about the universe of small, mid-sized manufacturing companies. I come to them with the spend analytics tool, and that's the basis of the platform. Now, I want to build AI agents on top of this. I have all this data. It's presenting actionable opportunities. What would be the next feature I want to build on top of that? What would provide the most value in terms of the procurement process?

Expert 00:16:05

To add the marketplace as a third layer. Now that you have the analytics from my direct material portion, and **it's going to be enhanced by your different repositories of the AI agent**, now that you have a more detailed sense of what I need, how can you connect me to the potential suppliers? How can you connect me or integrate me into a marketplace?

Another thing, before reaching the marketplace, is how can I add the variable of the risk on your analysis? One thing, it will be very beneficial, especially the large corporations uses Dun & Bradstreet to get the supplier profile, supplier risk, financial risk. I don't know if they have their APIs, I forgot the word in English, to connect your AI tool to their database. That is a really important factor on the decision-making process for the sourcing and procurement organizations.

Client 00:16:55

Got it. You're saying there's an element of integrating risk analysis. If you think about the more repetitive or just time-consuming tasks that you could take away, and now **you have all this good information,** and now there's all these time-consuming tasks, what would that AI agent be doing given all this new information? Is it sourcing new suppliers? Is it helping with payments? Is it maybe something else?

Expert 00:17:19

On the strategic side, if I have an AI agent, let's say, first step will be, "Analyze my spend." two) will be, "Give me the opportunities comparing my conditions versus the market conditions." Once I have that defined, will be, "Who could be a good player for this?" Another step will be, "Okay if those players are not an active supplier to my company, how can **I assess the risk of these companies**?" I don't know where they are localized. I don't know about their financials.

If they have leverage or not, **they are in financial struggle, could be a potential risk for us**, especially on the direct material side. The other thing will be how can I connect with those suppliers to an automatized approach and not just, "Hey, I have my short list, I have this potential supplier. Let me establish an initial conversation with them through email and then a call and then a supplier visit or the supplier paying a visit to us." That will be on the strategic side.

In the operational side, and maybe this will apply to large corporations, as you may know, we have supply chain finance programs. How can **I make this exploration of potential benefits in terms of working capital**, of cash flow by exploring opportunities on my payment term side? If I already have some potential avenues to transit, I have relationship with banks, they can buy the invoices, they can give a good rate to our suppliers. At the end, it will be more cash flow for me, extending the working capital for the suppliers.

Another thing is, and sorry, because in my recent five years I have not been on the operative side, but if an AI tool can help me to explore if there's any optimization opportunity on the way that I'm buying the materials. Maybe **I'm having more cost** related to the logistics because I'm procuring a chemical that I purchase every two weeks instead of changing the recurrency of the purchasing frequently.

Client 00:19:14

Perfect. Thank you for your time. This was very helpful.

©2026, AlphaSense, Inc. All Rights Reserved. AlphaSense is a service mark of AlphaSense, Inc. All other trademarks mentioned belong to their respective owners.